

**PARLIAMENT OF THE DEMOCRATIC
SOCIALIST REPUBLIC OF
SRI LANKA**

**SOCIAL SECURITY CONTRIBUTION LEVY
(AMENDMENT)**

**A
BILL**

to amend the Social Security Contribution Levy Act, No. 25 of 2022

*Presented by the Prime Minister and Minister of Education,
Higher Education and Vocational Education
on 17th of March, 2026*

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STATEMENT OF LEGAL EFFECT

Clause 2: This clause amends section 4 of the Social Security Contribution Levy Act, No. 25 of 2022 (hereinafter referred to as the “principal enactment”), and the legal effect of that section as amended is to decrease the turnover threshold of registration for Social Security Contribution Levy from sixty million rupees to thirty-six million rupees per annum with effect from April 1, 2026.

Clause 3: This clause amends section 5 of the principal enactment and is consequential to the amendments made to section 4.

Clause 4: This clause amends the First Schedule to the principal enactment, and the legal effect of that schedule as amended is to-

- (a) restrict the exemption provided under item 25 of PART IA by setting out a time period applicable to any motor vehicle referred to in such item; and
- (b) exempt any motor vehicle under PART IB.

Social Security Contribution Levy (Amendment)

L.D. -O. 73/2025

AN ACT TO AMEND THE SOCIAL SECURITY CONTRIBUTION LEVY
ACT, No. 25 OF 2022

BE it enacted by the Parliament of the Democratic Socialist
Republic of Sri Lanka as follows: -

1. This Act may be cited as the Social Security Short title
Contribution Levy (Amendment) Act, No. of 2026.

5 2. Section 4 of the Social Security Contribution Levy Amendment
Act, No. 25 of 2022 (hereinafter referred to as the “principal of section 4 of
enactment”) is hereby amended in subsection (1) thereof as Act, No. 25 of
follows: - 2022

10 (1) in paragraph (c) thereof, by the substitution
for the words and figures “on or after January
1, 2024,”, of the words and figures “on or after
January 1, 2024 and prior to April 1, 2026,”;

(2) by the addition immediately after paragraph (c)
thereof, of the following new paragraph: -

15 “(d) for any period commencing on or after
April 1, 2026, not later than fifteen days
from the date on which the aggregate
of the turnover for a quarter exceeds or
likely to exceed nine million rupees or
20 from the date on which the aggregate of
the turnover for a period of consecutive
four quarters exceeds or likely to
exceed thirty-six million rupees.”;

25 (3) in proviso to paragraph (c) thereof, by the
substitution for the words “from the date of
operation of this (Amendment) Act.”, of the
words and figures “from March 20, 2024.”; and

2 *Social Security Contribution Levy (Amendment)*

- (4) by the addition immediately after the proviso to paragraph (c) thereof, of the following new proviso: -

5 “Provided further, a taxable person to whom paragraph (d) applies shall be deemed to have complied with the requirement of registration under this subsection, if such person makes an application for such purpose to the Commissioner-General in the specified form not later than fifteen days from the date of operation of this (Amendment) Act.”.

10

3. Section 5 of the principal enactment is hereby amended in subsection (1) thereof as follows: -

Amendment
of section 5 of
the principal
enactment

15 (1) in paragraph (b) thereof, by the substitution for the words “hundred and twenty million rupees; or”, of the words “hundred and twenty million rupees;”;

20 (2) in paragraph (c) thereof, by the substitution for the words and figures “on or after January 1, 2024,” and the words “sixty million rupees.”, of the words and figures “on or after January 1, 2024 and prior to April 1, 2026,”; and of the words “sixty million rupees; or” respectively; and

25 (3) by the addition immediately after paragraph (c) thereof, of the following new paragraph: -

30 “(d) for any period commencing on or after April 1, 2026, the aggregate turnover of such registered person for a period of consecutive four quarters does not exceed thirty-six million rupees.”.

4. The First Schedule to the principal enactment is hereby amended as follows: -

Amendment
of the First
Schedule to
the principal
enactment

5 (1) in item 25 of PART IA thereof, by the substitution
for the words “on the importation;”, of the words
and figures “on the importation prior to April 1,
2026”; and

(2) in PART IB thereof-

10 (a) in item 5, by the substitution for the
words “L.P. Gas; and”, of the words
“L.P. Gas;”;

(b) in item 6, by the substitution for the
words “local producer.”, of the words
“local producer; and”; and

15 (c) by the addition immediately after item
6, of the following new item: -

“7. Any motor vehicle effective from April
1, 2026.”.

5. In the event of any inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Sinhala text
to prevail
in case of
inconsistency

